POLIGEO · DEV DIARY

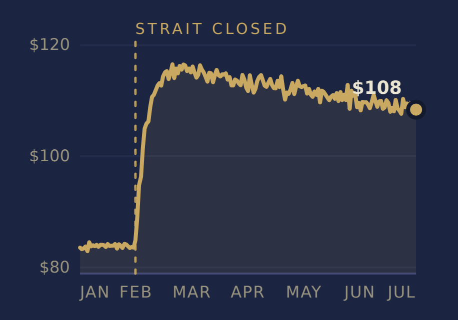
ECONOMY & INDUSTRY

I THE HORMUZ SHOCK

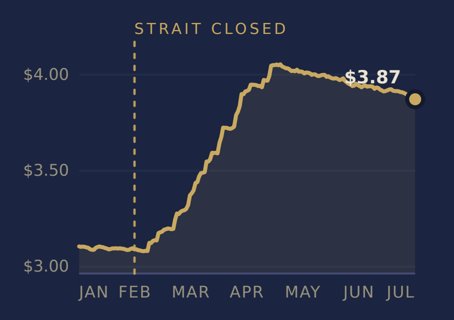
One closed strait, four instruments

A live engine run: the Strait of Hormuz closes one month in, and the same shock is read off four different gauges. Crude reprices in days, the pump follows in weeks, the CPI print lands a month later, and approval pays for all of it. Dotted line marks the closure.

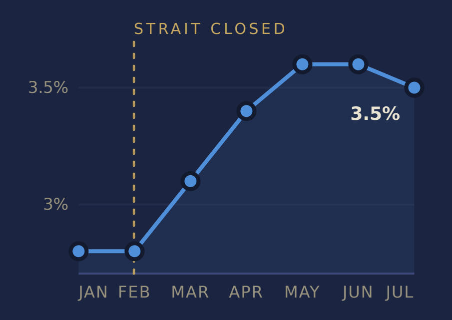
BRENT CRUDE · $/BBL



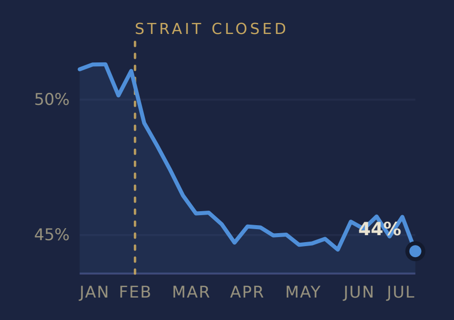
GASOLINE AT THE PUMP · $/GAL



INFLATION · CPI, YEAR OVER YEAR



PRESIDENTIAL APPROVAL

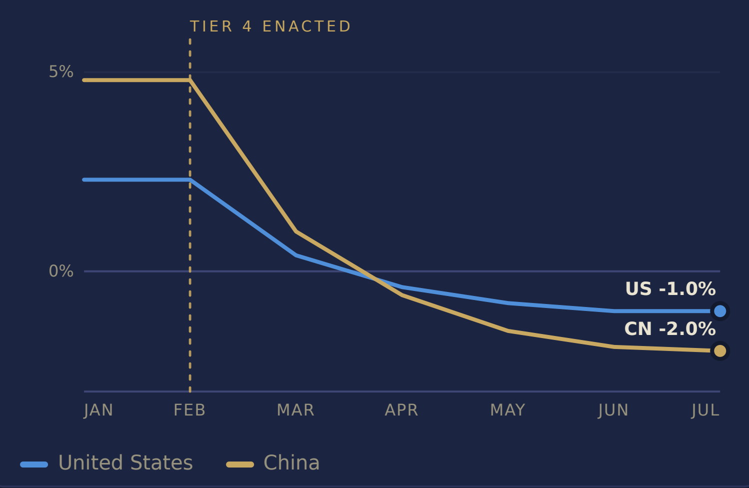


II TIER 4 ON BEIJING

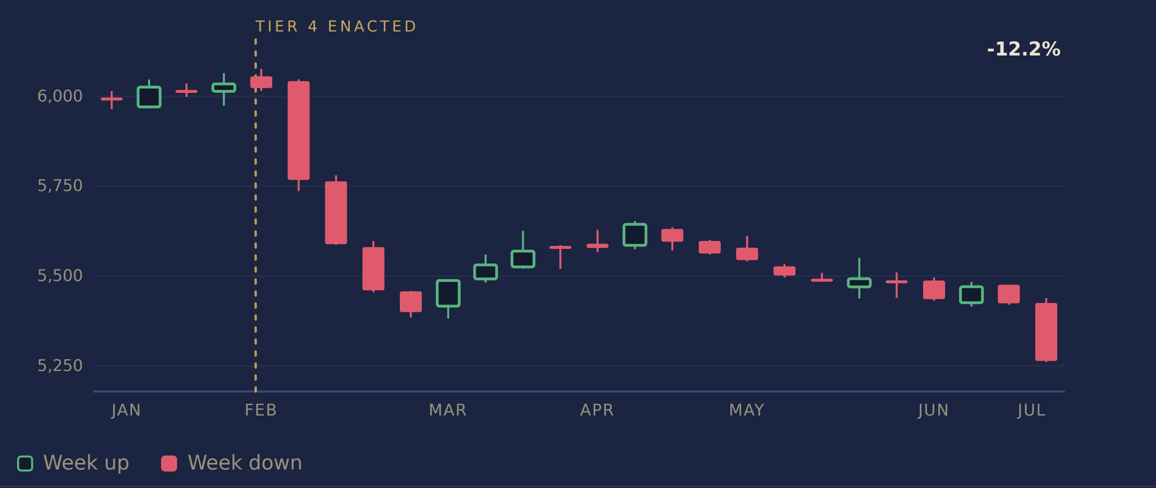
Impose maximum sanctions on China and face the consequences

Imposing full sanctions restricts trade with the recipient country. Democratic administrations must answer to their voters, while authoritarian countries have more tolerance for pain. Hollow candles close up, filled candles close down.

REAL GDP GROWTH · ANNUALIZED



S&P 500 · WEEKLY

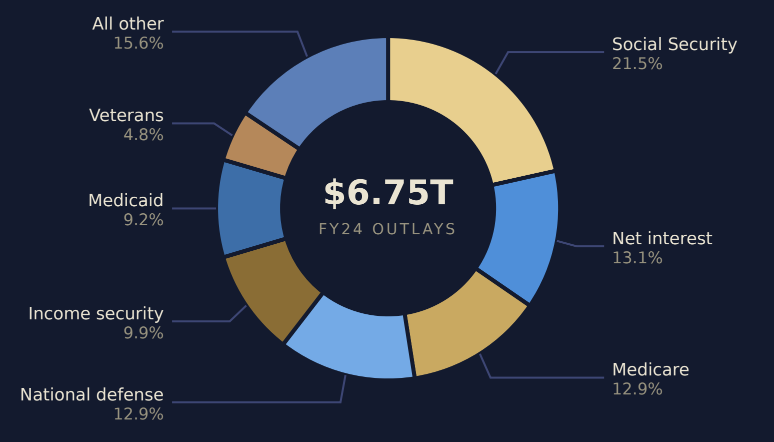


S&P 500	US TRADE DEFICIT	DOLLAR INDEX	PRESIDENTIAL APPROVAL
−12.2%	**−$97B**	**−2.1**	**−4 pt**

III THE BUDGET

Federal Budget, FY 2024

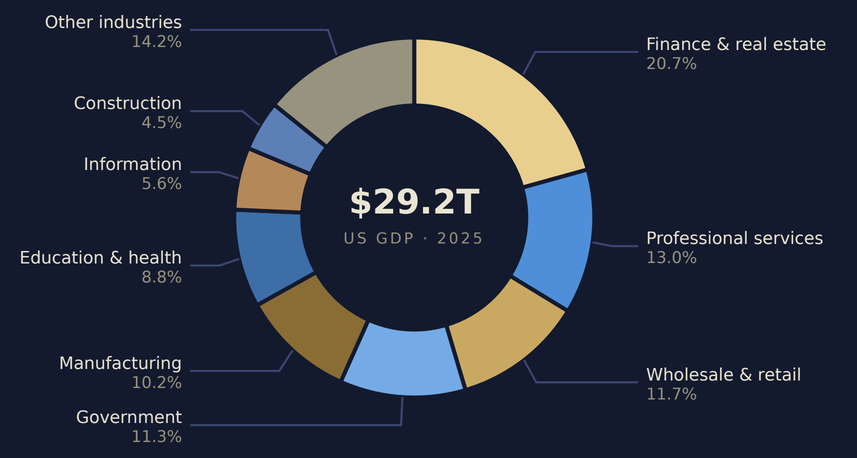
The budget the new US Administration inherits. Growing interest payments as a portion of the budget threaten long term financial stability.



IV THE INDUSTRIAL BASE

Sectors of the US Economy

Every nation's GDP is composed of sectors, represented by real buildings on the map that can increase or decrease their levels.



V THE BRIEFING

Economic briefing · January 20, 2025

The macroeconomic situation facing the incoming administration. This is the start of the simulation.

MEMORANDUM FOR THE PRESIDENT

COUNCIL OF ECONOMIC ADVISERS · INAUGURATION DAY BRIEF · 20 JAN 2025

GROWTH	Real GDP expanded **2.8%** in 2024; the engine's 2025 baseline tracks **+2.1%**, cooling but above trend.
PRICES	CPI at **2.9%**, core at 3.2%. Disinflation has stalled above the Federal Reserve's 2% target.
LABOR	Unemployment **4.1%**; payrolls +256k in December; wage growth 3.9% and outpacing prices.
RATES	Fed funds held at **4.25–4.50%**; markets price two cuts this year. 10-year Treasury at 4.61%.
MARKETS	S&P 500 at **5,996**. Dollar index 109 — the strongest in two years, squeezing exporters.
ENERGY	Brent **$83.81**, WTI $77; retail gasoline $3.11/gal. Inventories thin; Gulf transit risk is the swing factor.
FISCAL	Debt **$36.2T**; FY24 deficit $1.83T (6.4% of GDP). Net interest now exceeds the defense budget.
RISKS	Growing interest payments threaten a debt spiral if the budget is not constrained. Voters demand greater wage growth and lower inflation. Geopolitical threats from Russia and Iran could imperil energy prices if not carefully managed.

VI THE MARKET

Four market indices, trading normally

Listed companies are simulated tickers, with stock prices updating each simulated hour. Daily fluctuations are often outside of the administration's direct control, but actions affecting industry influence stock prices as the market calculates and reacts.

Technology Index **+4.2%** 1 MO

TECH

CONSTITUENTS	COMBINED CAP	LAST
38	**$14.2T**	**8,761.74**

Financials Index **-1.6%** 1 MO

FINANCE

CONSTITUENTS	COMBINED CAP	LAST
45	**$9.8T**	**3,137.40**

Healthcare Index **+4.1%** 1 MO

HEALTHCARE

CONSTITUENTS	COMBINED CAP	LAST
31	**$6.1T**	**2,345.41**

Services Index **+1.9%** 1 MO

SERVICES

CONSTITUENTS	COMBINED CAP	LAST
52	**$4.9T**	**1,908.24**